

Member ID: _____

Time: _____

Rank: _____



Advanced College Accounting (115) **STATE 2025**

Multiple Choice & Short-Answer Section:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Short-Answer Problems (29 @ 2 points each) _____ (58 points)

Production Portion:

Problem 1: Uncollectible Accounts (10 @ 2 points each) _____ (20 points)

Problem 2: Multi-Step Income Statement (35 @ 2 points each) _____ (70 points)

Problem 3: Partnership Liquidation (35 @ 2 points each) _____ (70 points)

TOTAL POINTS _____ **(248 points)**

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice: (30 points, 2 each)

Identify the letter of the choice that best completes the statement or answers the question.

1. Which type of business would *most* likely use a specific identification system?
 - A. Mass retail store
 - B. Farm Implement dealer
 - C. Diamond broker
 - D. Grocery store
2. If the net credit sales allowance method is used for estimating bad debt, the amount calculated by multiplying the percentage by net credit sales is what amount?
 - A. Expense to be recognized
 - B. Accounts receivable amount to be debited
 - C. Target balance for the allowance account
 - D. Accounts receivable amount to be credited
3. Net realizable value of accounts receivable equals _____.
 - A. $A/R - \text{Allowance for Doubtful Accounts}$
 - B. $A/R + \text{Allowance for Doubtful Accounts}$
 - C. $A/R \div \text{Allowance for Doubtful Accounts}$
 - D. $A/R \times \text{Allowance for Doubtful Accounts}$
4. If the current ratio for a company is 2.2 and the current liabilities are \$15,320, how much are the current assets? ***Round to the nearest dollar.***
 - A. \$6,964
 - B. \$30,640
 - C. \$33,704
 - D. \$53,320
5. The supplies account has a beginning balance of \$864. The following transactions occurred: \$12 of supplies were returned; \$1,288 were purchased; \$15 of supplies were damaged by water and thrown out. At the end of the period, an inventory count revealed that \$633 of supplies were remaining. How much of the supplies inventory was used during the period?
 - A. \$1,504
 - B. \$1,519
 - C. \$1,507
 - D. \$1,492
6. Outstanding checks should be _____ while performing a bank reconciliation.
 - A. Added to the bank statement
 - B. Added to the general ledger cash account
 - C. Subtracted from the bank statement
 - D. Subtracted from the general ledger cash account

7. Accumulated depreciation is categorized as a(n) _____.
 - A. Contra asset account
 - B. Expense account
 - C. Asset account
 - D. Contra expense account

8. Ajax Company started with 23 units in inventory of a particular product costing \$10 each. They purchased 43 more units at \$12 each and sold 55 units at \$42 each during the period. Using periodic FIFO cost flow, what was the ending inventory value?
 - A. \$614
 - B. \$636
 - C. \$132
 - D. \$110

9. Ajax Company started with 23 units in inventory of a particular product costing \$10 each. They purchased 43 more units at \$12 each and sold 55 units at \$42 each during the period. Using periodic LIFO cost flow, what was the cost of goods sold?
 - A. \$614
 - B. \$636
 - C. \$132
 - D. \$110

10. Ajax Company started with 23 units in inventory of a particular product costing \$10 each. They purchased 43 more units at \$12 each and sold 55 units at \$42 each during the period. Using a periodic system, would LIFO or FIFO show *more* profit and by *how* much?
 - A. FIFO is \$22 more
 - B. LIFO is \$22 more
 - C. FIFO is \$24 more
 - D. LIFO is \$24 more

11. Equipment costing \$8,000 with a salvage value of \$800 is put into service on June 1, 2023, and is depreciated over a 5-year period using straight line depreciation. How much depreciation will the company take for the month of May 2024? **Round to the nearest dollar.**
 - A. \$120
 - B. \$133
 - C. \$840
 - D. \$1440

12. A company has 100,000 shares of \$5 par common stock authorized; 55,000 shares are outstanding, while 60,000 have been issued. How many shares are in treasury stock?
 - A. 40,000
 - B. 5,000
 - C. 45,000
 - D. 100,000

13. **Refer to question 12 above.** If a dividend of \$1.50 per share was declared, what would the total amount of dividends be to pay out?
- A. \$150,000
 - B. \$6,500
 - C. \$82,500
 - D. \$90,000
14. A 3-month discounted note was issued and the proceeds from the note were \$5,850 and the discount was \$150. What is the discount rate on the note?
- A. 2.5%
 - B. 5%
 - C. 7.5%
 - D. 10%
15. Under which costing method will ending inventory and COGS be the same under both the periodic and perpetual system?
- A. Weighted Average Cost
 - B. FIFO
 - C. LIFO
 - D. LILO

SHORT-ANSWER QUESTIONS**SAQ #1 (16 POINTS, 2 POINTS EACH ACCOUNT & AMOUNT, NO POINTS FOR DATE)**

On September 12, Favor Corporation sold a completely depreciated piece of equipment for \$500, which originally cost \$6,200. Complete the journal entry to record this transaction.

	JOURNAL		PAGE 11
DATE	ACCOUNT DESCRIPTION	DEBIT	CREDIT

SAQ #2 (8 POINTS, 2 POINTS EACH, NO POINTS FOR DATE)

On August 9, the Savory Corporation transferred a customer charge account to a 60-day, 8% note for \$11,233. Record the transaction.

	JOURNAL		PAGE 12
DATE	ACCOUNT DESCRIPTION	DEBIT	CREDIT

SAQ #3 (14 POINTS, 2 POINTS EACH)

Below is a table showing activity in the Accounts Receivable (A/R) account of Smith Company for the years 2021-2024. Complete the table by filling in the missing amounts. Assume Smith uses the allowance method of writing off accounts receivable.

YR	Beginning Balance A/R	Net Credit Sales	Write Offs	Reinstated Write Offs	Collections on A/R	Ending Balance
2021	11,556		5,026	865	475,699	13,844
2022		526,333		156	521,995	
2023	15,887	539,744	3,288		535,885	
2024	16,468	562,112	4,433	542	541,266	

SAQ #4 (20 POINTS, 2 POINTS EACH)

Below are the T Accounts used for closing journal entries. Fill in the missing amounts (shaded boxes) into the T accounts based on the following transactions:

- #1 – Cash Dividends in the amount of \$22,000 are paid.
- #2 – An additional amount of \$25,000 Cash Dividends is declared.
- #3 – The balance in Cash Dividends is closed to Retained Earnings.
- #4 – Income Summary is closed to Retained Earnings.
- #5 – Calculate the Ending Balance for each account except the Cash account.

Cash Dividends		Dividends Payable	
25,000			22,000
Cash			
	22,000		
Income Summary		Retained Earnings	
	346,207		102,555
298,631			

PROBLEMS:**PROBLEM #1 (20 POINTS, 2 POINTS EACH)**

Blanda Company uses the allowance method to estimate bad debt. Complete the following Aging of Receivables table and record the adjusting journal entry for December 31, 2024. Upon review, the Allowance for Doubtful Accounts has a debit balance of \$845 before adjustment. Use the following measurements to calculate the estimated uncollectible amount. Then, complete the year-end journal entry for the adjustment to Allowance for Doubtful Accounts. ***Round all answers to the nearest dollar.***

Days Out	Amount	Estimated % Uncollectible	Estimated Amount Uncollectible
Current	\$67,850.00	4%	
30-60 days	\$18,475.00	6%	
61-120 days	\$5,540.00	9%	
121-180 days	\$3,785.00	20%	
181 days & over	\$1,200.00	50%	
TOTAL	xxx	xxx	

Record the journal entry here.

DATE	ACCOUNT	DEBIT	CREDIT

Complete a year-end multi-step income statement with the following data for Cornwell Corporation as of December 31, 2024.

Sales Revenue	\$185,745	Supplies Expense	\$1,832
Utilities Expense	\$1,488	Salaries Expense	\$34,054
Unearned Revenue	\$2,690	Interest Revenue	\$132
Interest Expense	\$1,102	Office Expense	\$974
Cash Dividends	\$1,500	Cost of Goods Sold	\$47,557
Equipment	\$20,645	Depreciation Expense	\$2,100
Gain on the Sale of Equipment			\$1,130

[illegible]

PROBLEM #3 (70 POINTS, 2 POINTS EACH)

Alton Red, Afton White, and Aldon Blue have a partnership they are liquidating. The partnership articles call for 2:1:1 split on all income and deficiencies for Red, White, and Blue respectively. The liquidation took place from March 1-18, 2024. Before liquidation, the balance sheet had the following amounts:

Cash	\$211,000	Non-Cash Assets	\$ 87,000
Liabilities	\$ 37,500	Red, Capital	\$130,500
White, Capital	\$ 75,500	Blue, Capital	\$ 54,500

Complete the following statement of liquidation below using the following information:

1. Non-Cash Assets were sold for \$51,000.
2. The liabilities were paid in full.
3. The remaining cash was distributed.

Red, White, and Blue						
Statement of Partnership Liquidation						
March 1-18, 2024						
	Cash	Non-Cash Assets	Liabilities	Red, Capital	White, Capital	Blue, Capital
Balances before Realization						
Sale of Non-Cash Assets and division of loss						
Balances after Realization						
Payment of Liabilities						
Balances after Payment of Liabilities						
Cash Distributed to Partners						
Final Balances						